

The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

Donald Trump threatened to strike **Iran** again on Thursday and mused about seizing Kharg Island in the Persian Gulf, home to Iran's main oil-export terminal. Recent American and Iranian strikes have imperiled peace talks. Earlier, **India** expressed "strong protest" over an American strike on a Palau-flagged oil tanker near Oman, which killed three Indian sailors. America claimed the vessel violated its blockade.

Britain's **defence secretary** resigned. John Healey said the [defence investment plan](#), a long-delayed and still unpublished document setting out Britain's spending on weapons and other systems for the next decade, would fall "well short" of what the armed forces require "at this dangerous time". His resignation is another blow to the authority of **Sir Keir Starmer**, Britain's beleaguered prime minister.

The **European Central Bank** raised **interest rates** from 2% to 2.25% in an effort to tame inflation stoked by the Iran war. The euro zone's annual inflation rate was 3.2% in May, up from 3% in April and above the ECB's 2% target for the third consecutive month. The bank also cut its growth forecast for 2026 and 2027 because of the expected impact of the war.

Oracle's share price fell by more than 10% after markets opened in America, despite reporting higher revenue and profit in its quarterly earnings on Wednesday. Investors were spooked by the tech giant's [splurge on AI infrastructure](#), which helped push capital spending \$5.7bn higher than expected over the past year. The firm also committed \$70bn in the coming year to build data centres, adding to investors' jitters.

Police used water cannon to disperse rioters during a second night of unrest in **Belfast**. A crowd threw bricks, stones and bottles at officers trying to control anti-immigration demonstrations that had turned violent. [The protests](#) came after a Sudanese man allegedly stabbed a man, seriously injuring him. Hadi Alodid was charged with attempted murder; his motive is being investigated.

Giorgia Meloni, **Italy's** prime minister, said **Europe** should choose a single representative for negotiations over ending the war in Ukraine. She said the "E3", an informal group of Britain, France and Germany, lacks the "legitimacy to speak on behalf of Europe". Donald Tusk, Poland's prime minister, also expressed fears of [being sidelined](#) after the E3 held a meeting with Volodymyr Zelensky, Ukraine's president.

Russian teams were banned from competing in events held by the **International Chess Federation** (FIDE) for three years after Russia's chess body ignored calls to stop holding matches in occupied Ukraine. FIDE's Russian boss may also be approaching his own endgame. On Wednesday the European Union recommended introducing sanctions against Arkady Dvorkovich because of his support for Russia's invasion.

Figure of the day: \$1bn, the yearly sum Apple will pay Google for its AI technology. [Read about](#) the iPhone maker's plans to leap ahead in the AI race.



Photograph: AP

Northern Ireland's anti-migrant violence

Belfast is still on edge. On Monday night a Sudanese refugee viciously stabbed a local man. The next day the Northern Irish city erupted in violent protests. Demonstrators clashed with police, but their targets were foreigners. They kicked in doors, torched cars and set homes alight.

This is Northern Ireland's third consecutive year of anti-migrant violence. The unrest involves the organisational muscle of pro-British paramilitaries, who are still around a quarter-century after the end of the sectarian violence known as the Troubles. This week's violence happened overwhelmingly in poor areas and ones controlled by loyalist outfits. Right-wing British parties have [exploited the stabbing](#) to push previously taboo ideas, such as mass deportations and even the death penalty. Restore, a far-right outfit, pledged to put "third-world savages to death". Few Britons support such racist language. But small parties are pulling more mainstream ones farther right.



Photograph: Alamy

Adobe shrugs off the AI threat

Adobe, a software firm, reports earnings on Thursday. Its shares have lost about 30% of their value this year as [investors fret](#) that AI will obviate the need for expensive subscriptions to Photoshop and Illustrator. AI-powered tools are making it easier for users to create images and write code, as well as for startups to challenge established companies.

In the case of Adobe, such fears look either overblown or premature. Adobe posted record revenues during the first quarter. The firm has also embraced AI, integrating image-generation tools into its products. It argues that the technology will boost demand rather than erode it. Thursday's results will offer clues about whether AI is a threat to Adobe's business model—or its next growth engine.



Photograph: Alamy

Japan's wariness of doing business in China

On Thursday the Japanese Chamber of Commerce in China, which represents more than 8,000 firms, published its annual report on doing business in the world's second-largest economy. Relations between the countries are [strained](#). In November Takaichi Sanae, Japan's prime minister, said that a Chinese attack on Taiwan could trigger a Japanese military response. China reacted furiously; it warned its citizens against visiting Japan and imposed export controls.

Even before the spat, Japanese were becoming more reluctant to work in China. In 2024 the number of Japanese residents in China fell below 100,000 for the first time in two decades. In that year Japan's net direct investment in China slumped to a third of its peak in 2021. Businesses are wary of a Chinese anti-espionage law that has led to the arrest of several Japanese executives. The Chamber of Commerce called on China's government to "maintain and strengthen dialogue" with Japanese companies.



Photograph: Reuters

Europe braces for higher interest rates

The European Central Bank decided to increase interest rates by a quarter of a percentage point, to 2.25%, at its meeting on Thursday. The central bank faced a dilemma. War in Iran has [driven up inflation](#): the annual rate was more than 3% in May. Businesses report price pressures rising to levels last seen in 2022, when Russia's invasion of Ukraine and booming post-pandemic demand drove up costs.

Still, it was a hike that nobody really wants. The war is also expected to dent economic growth. Consumers are downbeat, perhaps in part because a weaker economy may not sustain the generous wage rises of recent years. To boost the economy the ECB would have to cut rates. But its main mandate is price stability, so the bank probably felt obliged to send a signal that it will not tolerate another cycle of high inflation.

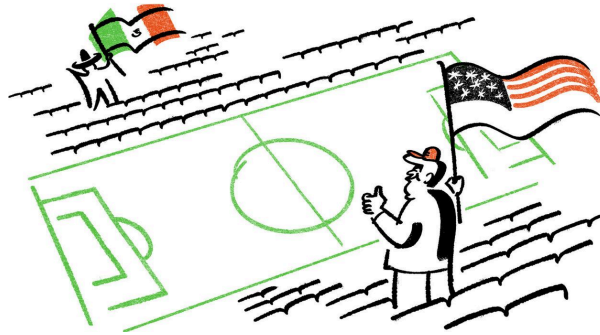


Illustration: Sandra Navarro

A World Cup like no other

On Thursday the 2026 men's World Cup opens with Mexico against South Africa in Mexico City. America and Canada are also hosting the tournament, which is the biggest yet, with 48 countries competing, up from 32 in 2022.

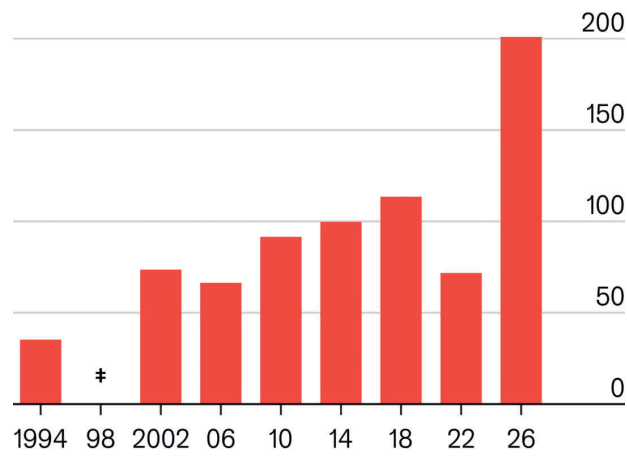
Criticism abounded before the first whistle. Relations between the host governments are [at a nadir](#) because of Donald Trump's tariffs and threats against his neighbours. [Exorbitant ticket prices](#) may leave thousands of empty seats. And a Somali referee was refused entry to America despite having a visa.

On Thursday Gianni Infantino told critics to "chill and relax". FIFA's boss said that record revenue would be invested in needy places. And he claimed credit for securing Iran's participation, despite it being at war with one of the hosts (and being forced to stay outside of America, where its games are taking place). Maybe Mr Infantino is angling for FIFA's own preposterous "peace prize", which last year he awarded to Mr Trump.

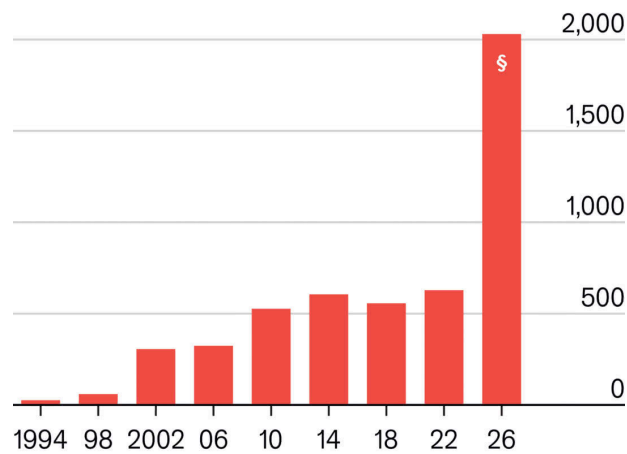
The cost of happiness

Men's football World Cup,
cheapest tickets*, \$, 2026 prices

Group stage[†]



Final



*Does not include discounted tickets offered
to residents of host countries, or those resold

[†]Average across all matches [‡]No data available

[§]Less than 3% of tickets sold at this price

Sources: WorldCupGuide.com; FIFA



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What is the capital of the Mexican state of Jalisco?

Wednesday: The First Continental Congress met in 1774 in which city?

*Language most shows a man;
speak that I may see thee.*

Ben Jonson